LVMH Moët Hennessy - Louis Vuitton Société Européenne (LVMHF; LVMUY)

Report Date Apr-23

Fiscal Year Dec 31

All $ in Millions (Except $/Share)

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CASH FLOW INVESTING

HISTORICAL INFORMATION

Year	CFO Adj.	CAPEX	Debt (PMT)	FCFE	Shares	FCFE/shr	Price $/Share	FCFE Yield
2013	$ 6,445	$ (2,377)	$ 2,807	$ 6,875	503	$ 13.66	$ 161.85	8.4%
2014	$ 5,529	$ (2,142)	$ 372	$ 3,758	504	$ 7.46	$ 158.62	4.7%
2015	$ 6,079	$ (2,144)	$ (1,559)	$ 2,376	505	$ 4.71	$ 161.20	2.9%
2016	$ 6,457	$ (2,380)	$ (1,335)	$ 2,743	505	$ 5.44	$ 186.02	2.9%
2017	$ 8,290	$ (2,758)	$ 5,004	$ 10,536	504	$ 20.90	$ 293.75	7.1%
2018	$ 9,632	$ (2,967)	$ (739)	$ 5,926	504	$ 11.76	$ 286.79	4.1%
2019	$ 12,985	$ (3,208)	$ (1,301)	$ 8,476	504	$ 16.82	$ 450.58	3.7%
2020	$ 13,235	$ (2,422)	$ 12,427	$ 23,240	504	$ 46.09	$ 609.96	7.6%
2021	$ 21,074	$ (3,045)	$ (9,805)	$ 8,224	504	$ 16.32	$ 805.10	2.0%
2022	$ 18,954	$ (4,708)	$ (3,071)	$ 11,175	502	$ 22.24	$ 741.75	3.0%
CAGR or AVG	13%	8%	N/A	6%	0%	6%	18%	4.7%

Year	Revenue	EBITDA	Debt	Excess Cash	Mkt Cap	EV	EV / EBITDA	Debt/EBITDA
2013	$ 39,959	$ 9,707	$ 12,175	$ 235	$ 81,443	$ 93,383	9.6x	1.2x
2014	$ 37,085	$ 8,353	$ 11,199	$ 306	$ 79,923	$ 90,815	10.9x	1.3x
2015	$ 38,734	$ 8,719	$ 8,998	$ 418	$ 81,389	$ 89,969	10.3x	1.0x
2016	$ 39,575	$ 8,911	$ 7,772	$ 394	$ 93,873	$ 101,251	11.4x	0.8x
2017	$ 51,153	$ 11,894	$ 13,905	$ 618	$ 148,052	$ 161,340	13.6x	1.1x
2018	$ 53,644	$ 13,406	$ 12,660	$ 763	$ 144,518	$ 156,415	11.7x	0.9x
2019	$ 60,202	$ 15,602	$ 28,349	$ 821	$ 227,022	$ 254,550	16.3x	1.8x
2020	$ 54,546	$ 14,043	$ 45,875	$ 919	$ 307,545	$ 352,501	25.1x	3.2x
2021	$ 73,088	$ 22,655	$ 39,317	$ 2,896	$ 405,686	$ 442,107	19.5x	1.6x
2022	$ 84,789	$ 25,600	$ 37,825	$ 3,803	$ 372,713	$ 406,735	15.9x	1.3x
CAGR or AVG	9%	11%	13%	36%	18%	18%	14.4x	1.4x
CAGR	Average							

5 Key Attributes

Revenue
Growth 9%
PASS

Enterprise Earnings
Growth 11%
PASS

Strong FCFE
Growth 6%
Margin 16%
PASS

<3x Debt
Net Debt 1.3x
PASS

Well Priced Investment
IRR 7%
FAIL

FORECAST AND INVESTMENT RETURN ANALYSIS

Year	EBITDA	Growth Rate
2023	$ 27,131	6.0%
2024	$ 28,753	6.0%
2025	$ 30,473	6.0%
2026	$ 32,296	6.0%
2027	$ 34,228	6.0%
2028	$ 36,276	6.0%
2029	$ 38,447	6.0%
2030	$ 40,749	6.0%
2031	$ 43,188	6.0%
2032	$ 45,774	6.0%

Year	FCFE/shr	Growth Rate
2023	$ 30.05	6.0%
2024	$ 31.84	6.0%
2025	$ 33.75	6.0%
2026	$ 35.77	6.0%
2027	$ 37.91	6.0%
2028	$ 40.17	6.0%
2029	$ 42.58	6.0%
2030	$ 45.13	6.0%
2031	$ 47.83	6.0%
2032	$ 50.69	6.0%

Year	FCFE/shr	Stock Price	Total Cash Flow
2023	$ 30.05	$ (960.80)	$ (930.75)
2024	$ 31.84		$ 31.84
2025	$ 33.75		$ 33.75
2026	$ 35.77		$ 35.77
2027	$ 37.91		$ 37.91
2028	$ 40.17		$ 40.17
2029	$ 42.58		$ 42.58
2030	$ 45.13		$ 45.13
2031	$ 47.83		$ 47.83
2032	$ 50.69	$ 1,193.26	$ 1,243.96

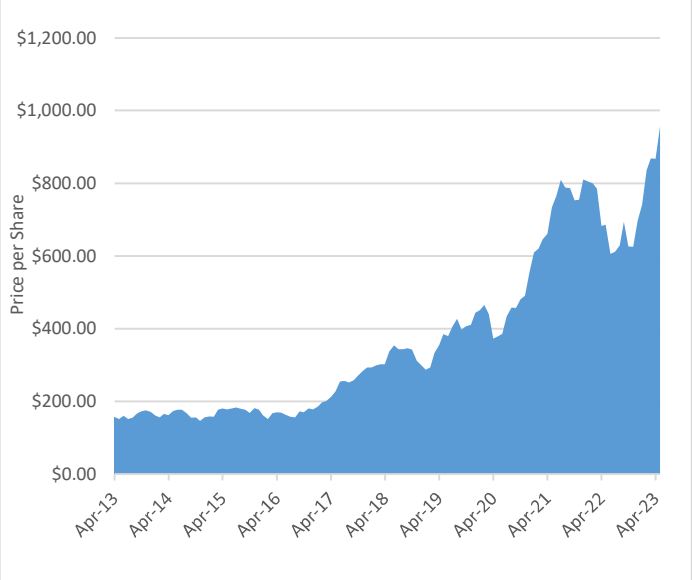
LT Mkt Multiple	14.0x
EV 2032	$ 640,838
Less: Debt	$ 37,825
Plus: Cash	$ 3,803
Mkt Cap	$ 606,816
Fully Diluted Shares	502.5
Stock Price 2032	**$ 1,207.64**

LT FCFE Yield	4.3%
Stock Price 2032	**$ 1,178.89**
Avg Price Est 2032	**$ 1,193.26**

IRR	**6.6%**
Cash Distributed	$ 395.71
Stock Gain	$ 232.46
Total Gain	$ 628.17
Cash on Cash Return	1.7x

Possible Return Distribution at Various Different Purchase Prices

$700	$778	$865	$961	$1,057	$1,163	$1,279
11%	10%	8%	7%	5%	4%	3%



Notes

The financials on LVMH are presented in USD (Millions). LVMH Moët Hennessy - Louis Vuitton, Société Européenne operates 5664 Stores as a luxury goods company worldwide. The company offers champagnes, wines, & spirits, fashion & leather products, perfumes & cosmetics, watches and jewelry. Some of their brands include: Dom Pérignon, Hennessy, Ardbeg, Christian Dior, FENDI, Louis Vuitton, Marc Jacobs, Bulgari, Chaumet, TAG Heuer and Tiffany & Co. - to name a few. LVMH has been able to grow revenue, EBITDA and cash flow faster than the elevated inflation rate. LVMH maintains a debt level below the 3.0x Net Debt / EBITDA maximum and is able to generate strong free cash flow which is held in excess cash, used for a modest dividend, minor share buy backs, and acquisitions of similar brands such as Christian Dior and Tiffany & Co in 2017 and 2020. The stock price has grown dramatically over the past couple years with both strong earnings growth thanks to stimulus checks fuelling retail spending and overall price increases. The company is expected to grow earnings YoY however the market multiple has been around 11x, only recently has doubled after the acquisitions and we believe this will normalize in time - weighing on the stock's capital appreciation. The current price is 19x EV / EBITDA, higher than the historical avg. of 14x, but given the modest growth rate (acquisitions could accelerate) long term cash flow inventors might want to wait a little and confirm that elevated margins can be maintained.

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